

Risk and uncertainty



Economic life is imbued with risk. A trader's portfolio might lose value or go through the roof, a worker might be laid off or get a raise. Risk refers to situations in which there are a set of known events that will occur with measurable probabilities, such as the different outcomes on a roulette wheel.

Much economic analysis uses this idea: firms and individuals calculate expected returns from different courses of action and then choose the one with the highest return. For example, a firm believes with a high probability that there will be large market demand next year: it therefore decides to launch a new product. Uncertainty refers to situations in which future events do not have a known probability and so expected returns can't be calculated. Uncertainty pervades all economies: for example, it is impossible to know what new kinds of technologies might exist a decade from now. This means that in reality a great deal of

economic decision-making about the future is driven by hunches rather than calculations.